

Algebra 1
Unit 13
Lesson 2 Practice

Name _____
Date _____
Period _____

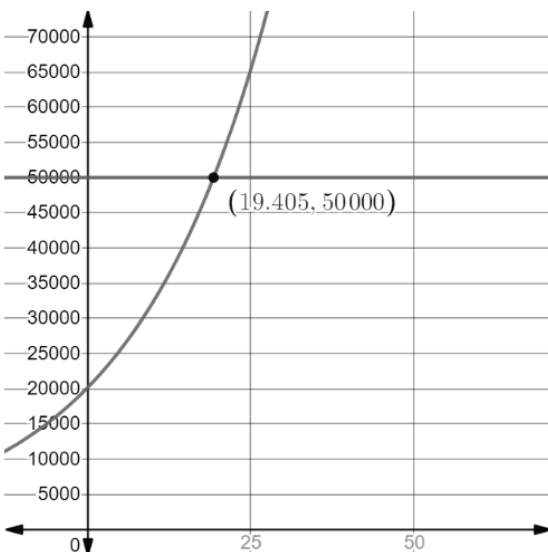
Juan deposited \$20,000 in a savings account with a 4.75% APR compounded quarterly.

1. Write an equation that models the amount of money Juan has in the account.

2. What is the balance in the account after 8 years?

3. What is the balance in the account after 12 years?

4. Use the graph to determine when the savings account will reach \$50,000.



For questions 5-10, complete the table below.

	Simple Interest	Compound Interest
Investment amount and APR	\$150,000 is invested at an interest rate of 5.25% APR	\$150,000 is invested at an interest rate of 5.25% APR compounded monthly
Write the equation.	5. $A = P(1 + rt)$	6. $A = P \left(1 + \frac{r}{n}\right)^{nt}$
Determine the amount after 5 years.	7.	8.
Determine the amount after 25 years.	9.	10.